



DEPARTMENT OF THE NAVY
NAVAL SURFACE WARFARE CENTER
PHILADELPHIA DIVISION
5001 SOUTH BROAD STREET
PHILADELPHIA PA 19112-1403

IN REPLY REFER TO
D&F No. 0232-24-014-00
Code [REDACTED]

**DETERMINATION AND FINDINGS
AUTHORITY TO CONSOLIDATE CONTRACT REQUIREMENTS**

Upon the basis of the following findings pursuant to the authority of 15 U.S.C. § 657q, as implemented in Federal Acquisition Regulation (FAR) Subpart 7.107-2 and the Navy Marine Corps Acquisition Regulation Supplement (NMCARS) Subpart 5207.107-2, it is hereby determined that the Naval Sea Systems Command (NAVSEA), Naval Surface Warfare Center, Philadelphia Division (NSWCPD) Repair/Refurbishment of Critical Steam Valve Spares and Repair/Refurbishment of Critical Steam Boiler Appurtenance Spares requirements may be consolidated.

FINDINGS

1. Identification of Agency and Contracting Activity

This Determination and Findings (D&F) has been prepared by the NSWCPD Contracts Department, Code [REDACTED]

2. Nature/Description of Action

NSWCPD is planning to issue a single solicitation for the repair and refurbishment of Steam Valves and Steam Boiler Appurtenances. Hereinafter referred to as the Steam Propulsion Plant Repair and Refurbishment contract, it will provide storage, overhaul, assessment, repair, and industrial activity to make Ready for Issue critical steam propulsion plant and boiler appurtenances under fleet critical spares and NAVSEA 2S COG Programs. This procurement action will consolidate these requirements which had been previously contracted for separately by one (1) Contractor, QED Systems, Inc. (QED), as detailed below.

a. Repair/Refurbishment of Critical Steam Valve Spares Contract

On 09 July 2019, Contract No. N6449819D4026 was competitively awarded to QED for \$17.6M for the storage, overhaul, assessment, repair, and industrial activity to make Ready for Issue critical steam plant valves under fleet critical spares and NAVSEA 2S COG Programs. This contract expires on 08 July 2025.

b. Repair/Refurbishment of Critical Steam Boiler Appurtenance Spares Contract

On 30 July 2020, Contract No. N6449820D4025 was competitively awarded to QED for \$18.1M for the storage, overhaul, assessment, repair, and industrial activity to make Ready for Issue critical steam propulsion plant and boiler appurtenances under fleet critical spares and NAVSEA 2S COG Programs. This contract expires on 29 July 2025.

CUI

Source Selection Information – See FAR 2.101 and 3.104

Upon review of the two (2) contracts detailed above, the Government concluded that the requirements represented similar work and scope, and that a substantial degree of duplicative services existed between the requirements. After consolidation, the anticipated five (5) year Cost-Plus-Fixed-Fee (CPFF), Indefinite-Delivery, Indefinite, Quantity (IDIQ) contract for the repair and refurbishment of Steam Valves and Steam Boiler Appurtenances will have an estimated value of \$41.8M and will be solicited utilizing full and open competition after exclusion of sources as this will be a total set-aside for small business concerns.

3. Results of Market Research

As discussed in detail below, market research indicates that there are two small businesses that appear capable of providing the required services at fair market prices. In accordance with FAR 19.502-2(a), this requirement shall be set-aside for small businesses. Thus, consolidation would have no negative impact on small businesses. In addition, any alternative of lesser consolidation (paragraph 5) does not lead to increased competition, and although there is some benefit in this alternative, it is outweighed by the substantial benefits of consolidation.

- a. Planning. Two separate Request for Information notices were issued for both the boiler portion and valve portion of the statement of work (SOW). Each Request for Information was posted on the System for Award Management website (SAM.gov) on 25 July 2023 for 14 days. They were posted with the North American Industry Classification System (NAICS) Code 336611, Ship Building and Repairing. The Request for Information notices' objective was to determine the competitive landscape for consolidating Steam Propulsion Plant Repair and Refurbishment requirements. One response was received from the incumbent Contractor, QED, which is a small business, for both Request for Information notices.

In an effort to identify additional small businesses sources, the Acting NSWCPD Deputy for Small Business, [REDACTED], issued a second Request for Information via email on 2 July 2024. Prior to the closing date of 18 July 2024, Delphinus Engineering, a small business, submitted a capability statement for this requirement. The capability statement was reviewed by the subject matter experts, and it was determined that Delphinus Engineering also appears capable of providing the required services.

- b. Program History. Historically, the Steam Propulsion Plant Repair and Refurbishment contracts were awarded to QED through small business set-asides. Below is recent history:
 - (1) Repair/Refurbishment of Critical Steam Valve Spares Contract (N6449819D4026)
In 2018, when this contract was competed, there was only one offer received in response to the solicitation, which was from a small business (QED).
 - (2) Repair/Refurbishment of Critical Steam Boiler Appurtenance Spares Contract (N6449820D4025)

In 2019, when this contract was competed, there was only one offer received in response to the solicitation, which was from a small business (QED).

- c. **Small Business Impacts.** NSWCPD has considered the potential impacts of this consolidation to small businesses. As noted in paragraph 3.a., market research indicates a reasonable expectation of obtaining offers from two or more responsible small business concerns that are competitive in terms of fair market prices, quality, and delivery. Therefore, in accordance with FAR 19.502-2(a), this requirement shall be set-aside for small businesses. Thus, in accordance with 15 U.S.C. § 657q(c)(1)(D) and FAR 7.107-2(a)(4), NSWCPD has found that this consolidation in-and-of-itself will ultimately have no negative impacts on contracting with small business concerns. This consolidation determination has received concurrence from NSWCPD's Office of Small Business Programs [REDACTED].

4. Benefits of Planned Consolidation

NSWCPD has determined that the consolidation of the two (2) previously awarded contract requirements into one (1) combined action provides substantial benefits to the Government. These benefits are both tangible to the Government in terms of efficiency and quantifiable in terms of favorable cost impact. The expected benefits in terms of quality, schedule, workforce, acquisition cycle time, and cost are critical to the NSWCPD Steam Systems Branch's ability to rapidly deliver quality Critical Steam System solutions that enhance warfighter capabilities. These benefits are as follows:

Quality and Schedule: Consolidating Steam Propulsion Plant Repair and Refurbishment requirements into one IDIQ contract directly aligns with the NAVSEA and NSWCPD mission and will improve the quality of the end product. Consolidation will facilitate an increase in overall quality and timeliness of the Contractor's delivered products, allowing on Contractor to effectively integrate support services and adjust resources as necessary. Consolidation will also increase the quality and timeliness of services provided by having one (1) contract with standard terms and conditions, with one Program Manager responsible for resultant Task Order performance. Such efficiencies promote consistency and compliance with NSWCPD quality control processes and procedures. Furthermore, a Contractor executing the requirement under a single contract encourages higher quality and consistent deliverables when compared to the potential of having two (2) Contractors executing related requirements under separate contracts. A single Contractor, in concert with any Subcontractors, may be more invested in delivering higher quality support requirements. Further, consolidation encourages innovation with respect to integration across functional areas.

Ultimately, to solicit and award separate contracts for services that are very similar in scope is inefficient. This approach would lead to higher contract costs, slippage of milestones and schedules, and quality control redundancies. There would be duplicative actions such as quarterly program review support of Contract Data Requirements List (CDRL) and Data Item Descriptions (DID) deliverables, and management of the CDRLs and DIDs. The consolidation of these requirements will also reduce overlap leading to overall improvement of the delivery and quality of services.

Consolidation of the engineering support will increase the quality and timeliness of services provided by having fewer Task Orders and enabling standard terms and conditions.

Consolidation will increase the quality of the services provided by:

- Having one contract with standardized terms and conditions;
- Having a single Procuring Contracting Officer (PCO), Contract Specialist, Contracting Officer's Representative (COR), and Contractor Program Manager for the service performance; and
- Promoting consistency and accountability in the execution of the SOW.

Consolidation of requirements from these two (2) contract requirements ensures that such integrated and dependent storage, overhaul, assessment, and repair functions are managed under a single contract. Such efficiencies promote consistency and compliance with Critical Steam Plant and Level 1 quality control processes and procedures. Having these requirements managed under one (1) contract will significantly improve the quality of the Critical Steam Plant systems and will substantially benefit mission execution of the fleet and warfighter.

Workforce Benefits: The consolidation of the efforts will enable the Contractor to provide a better and more efficient service by leveraging the technical capabilities of its workforce. Consolidating the required effort under a single IDIQ solicitation would provide an overall increase in workforce stability and provide consistent workforce expectations across staff supporting the effort. One (1) enterprise contract is more beneficial than multiple similar contracts since there will be a specific point of contact for both the Government and Contractor and there will be the ability to incorporate more than one requirement into each Task Order, ultimately reducing the number of Task Orders placed.

Reduction in Acquisition Cycle Times: Duplication of processes and document requirements is a significant strain on acquisition productivity. The proposed consolidation drastically reduces the documentation required to acquire the services desired thereby reducing the technical, contractual, and administrative burden of conducting two (2) simultaneous competitions. There is significant benefit in consolidating both contracts, as removal of duplicative acquisition steps (e.g., acquisition planning, solicitation, evaluation, negotiations, etc.) will compress the acquisition cycle time by at least one (1) year from the alternative acquisition strategies. This estimate is based on the average time to conduct a tradeoff competition combined with the average manpower required to evaluate multiple proposals for each competition. Consolidation reduces acquisition, Program Management, Contracts, and Legal manpower requirements. Consolidating these requirements creates efficiencies through the reduction of Government pre-award solicitation development and proposal evaluation, as well as post-award monitoring, administration, and closeout.

Cost: Pursuing these contract requirements as separate actions would incur an additional \$625,050 over a five (5) year period, as outlined below.

Source Selection: Each competitive large procurement is estimated to cost \$200,000 to award.

Contract Administration: As of 14 June 2024, there have been four (4) Task Orders and thirty-three (33) modifications issued under Contract No. N6449819D4026 and five (5) Task Orders and thirty-eight (38) modifications issued under Contract No. N6449820D4025. If the contracts were consolidated, some redundant Task Orders could be eliminated. In looking at the SOWs of the nine (9) previously awarded Task Orders, three (3) could have been eliminated and combined into similar Task Orders. It is assumed the administrative cost to award a Task Order is approximately \$20,000. This could have led to an additional reduction of \$60,000 in administrative costs. In addition, twenty-nine (29) modifications could have been eliminated if this was administered under one (1) IDIQ contract. Assuming the cost to process a modification is \$1,500, that would equate to a \$43,500 reduction in administrative costs.

There would also be a reduction in additional support staff administration if the contracts were consolidated. With two (2) contracts in place, there is duplication of efforts for the COR, Quality Assurance, Security, and Defense Contract Audit Agency support. It is estimated that consolidation would result in approximately \$150,000 in additional administrative cost savings.

Program Management: Using the average estimated fully burdened labor rates for the next five (5) years for the Program Manager III (\$126/hr) and Program Manager II (\$107/hr), there would be additional costs to the Government of \$171,550 if the contracts were not consolidated.

Favorable cost impacts are expected to be realized by a reduction in contract administration costs. If two (2) separate follow-on contracts are awarded, the Government is expected to incur an additional \$625,050 in administrative costs over a five (5) year period. Although these cost savings (approximately 1.61% of the total estimated value of the consolidated contract requirements) would not alone qualify as “substantial” under FAR 7.107-2(d), they do represent an actual benefit of the consolidated approach in addition to the substantial non-monetary benefits described above. Further, this consolidation strategy is considered to be critical to the agency’s mission success and is also considered to have no impact on small business participation.

5. Alternate Acquisition Strategies

Prior to settling on the proposed acquisition strategy, NSWCPD considered an alternative contracting approach that would have involved a lesser degree of consolidation. The alternative approach considered was to maintain the status quo and continue issuing separate competitively awarded contracts for the Steam Critical Repair/Refurbishment requirements. The previous contracts for the boilers and valve repair/refurbishment requirements were both solicited competitively, but each only received one bid from the same small business. It is not practicable to continue to compete repair/refurbishment efforts separately from each other. The execution of two (2) separate contracts presents overall cost inefficiencies and delays to the Government. Separate

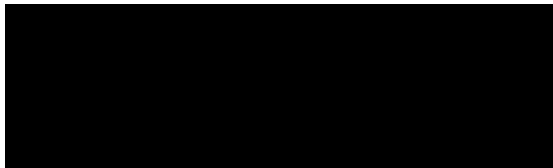
Government Furnished Property (GFP) tracking mechanisms for each contract would be required for all GFP being handled by the resultant Prime Contractor(s) and its Subcontractor(s) (as applicable). Two (2) contracts will also affect and inhibit an easier, more cost-effective method of managing the multitude of GFP that is being refurbished under this effort. A consolidated contract will allow for one (1) team, consisting of a Prime and Subcontractor(s) (vice two (2) teams under two (2) contracts), to perform the work providing for a quicker turnaround on repaired items at a lower cost for the administrative management of the Subcontractor(s) and GFP.

Additionally, competing each repair/refurbishment requirement separately under FAR Part 15 would cause an undue increase in time, while consolidation allows for unification of requirements and streamlining of acquisition and technical efforts. Utilizing average timelines to compete the requirements separately along with the manpower needed for each competition, it is estimated that this overlapping timeframe would cause an increase in the Procurement Action Lead Time of up to a year due to the inability to run both competitions simultaneously and efficiently. The same Government personnel would be required to process both repair/refurbishment competitions separately. Thus, the competitions would have to be staggered in a manner that would allow adequate time to run both competitions, delaying the timeline by up to a year. This year delay would be the result of the Government conducting evaluations of the first competition prior to releasing the Request for Proposal (RFP) of the second competition, staggering the final award date accordingly.

For the foregoing reasons, this consolidated approach is necessary and justified as the benefits to the Government through quality, schedule, workforce, acquisition cycle time, cost, and ultimately fleet readiness substantially exceed the benefits of the alternative acquisition approaches.

DETERMINATION

Based upon the foregoing findings, I hereby determine that the consolidation of requirements described in such findings is necessary and justified, pursuant to 15 U.S.C. § 657q, as implemented in FAR 7.107-2 and NMCARS 5207.170-2.



28Oct2024

Date